The Orange Variable

Podcast: Macro trading floor

AI Executive Summary

Core Thesis The current macroeconomic environment is characterized by a "Goldilocks" regime—stable US growth and inflation that remains above target but lacks the momentum for a runaway spiral. While market pricing reflects a significant hawkish bias and high uncertainty due to unpredictable policy shocks (the "orange variable"), the hosts argue that the most effective way to monetize this landscape is to move away from high-risk, negative-skew interest rate bets and instead focus on positive carry, mean reversion in precious metals, and equal-weighted equity exposure.

Key Arguments & Data * **The "Orange Variable":** A term used to describe unpredictable policy shocks and the subsequent lag in data that act as unexplained error terms in economic models. * **US Macroeconomic Outlook:** * **Inflation:** Core PCE is currently high (near 4% annualized), but there is no evidence of a massive disinflationary impulse or an inflationary spiral. * **Labor Market:** Projections suggest Non-Farm Payrolls (NFP) will moderate to between 50,000 and 100,000; unemployment is expected to remain stable around 4.2%–4.3%. * **Yield Discrepancy:** The divergence between moderate growth and high 2-year yields (~4.2%) is attributed to increased fiscal impulse (primary deficit spending) and credit creation driven by AI-related CapEx. * **Monetary Policy & Interest Rates:** The market is pricing in a hawkish distribution of Fed fund hikes; however, the hosts argue this is a "negative skew" trade where the potential for profit is small compared to the catastrophic risk of being wrong during an unexpected hiking cycle. * **Currency Dynamics:** * **USD Strategy:** While there is no immediate catalyst for a massive USD crash, positioning is extremely extended, making a short-dollar approach attractive once a catalyst appears. * **Emerging Markets (EM):** Highlighting "positive carry" opportunities via trades like Short USD/ZAR, USD/MXN, and USD/BRL. * **USD/JPY:** The trade is increasingly speculative and less driven by fundamental real-world flows (like oil importers) than in previous years. * **Equity Market Structure:** The S&P 500 is currently dominated by the AI factor (semiconductors). The hosts argue that the "Equal Weight" S&P 500 is a more accurate proxy for general equity beta and provides better exposure to value-oriented sectors like banks and industrials. * **Precious Metals:** Silver is identified as having high mean-reversion potential due to being "bombed out," with seasonal tailwinds potentially driving prices from ~$58 toward $63–$70 by August.

Actionable Takeaways * **Avoid Negative Skew in Rates:** Do not attempt to buy front-end interest rates (e.g., 2-year yields) solely for carry, as the risk of a sudden hawkish pivot outweighs the marginal gains. * **Seek Positive Carry via EM:** Look for opportunities to short the USD against high-carry emerging market currencies (ZAR, MXN, BRL) to capture returns in a period of relative macro stability. * **Rebalance Equity Exposure:** Move away from market-cap-weighted indices heavily concentrated in tech/semis; instead, utilize Equal Weight S&P 500 ETFs and tilt toward Value factors to benefit from nominal growth. * **Trade Mean Reversion in Metals:** Consider long positions in Silver and Gold, specifically targeting the seasonal upward move expected in late summer. * **Adopt an Open-Minded Framework:** Avoid trading dogmas (e.g., strictly technical or strictly macro). Successful macro trading requires integrating statistical models, fundamental macro analysis, and technical indicators to identify when a regime is shifting from "trading drift" to "trading tails."

Full Transcript

The macro trading floor with me, Alfonso Peccatillo, founder of the macro compass and former head of investments at the large European bank. And I am Brent Donnelly, president of Spectrum Markets. I've been a portfolio manager, day trader and market maker at the biggest commercial and investment banks in the United States. I'm also the author of Alpha Trader and the art of currency trading. If you want to know what's going on in markets and where they're going, you found the right podcast. Hi, everybody, and welcome back to the macro trading floor.

Brent and I are back again and before going live, we were talking about the orange variable. You know, in finance and macro, there are many of these models where you try to model out prices or risk premium. That is the famous CAPM model and there are others. And some of them tend to have an error term, stuff you can't explain really statistically. Well, managing money for the last two years has been sometimes a big error term that I like to call the orange variable. Brent, can you enlighten us on what the orange variable is? I mean, Alf is a funny guy just in general, but I think this is some of his funniest work is factoring in the orange variable, which is essentially like the random policy shocks that we get every two months or whatever. And then the ripple effect of those policy shocks and the lags of the policy shocks because the data is lagged.

every time we get one of these policy shocks, you need to factor in the orange variable, which is that the policy shock could be doubled down or removed at any time. And the person will keep asking for 10 until he gets 10 cents. And that has been an interesting, like jokes aside, that has been an interesting aspect of it was somewhat frustrating in the first Trump term I remember as well. I think my frustration was more with the clickbait articles that were not true from Wall Street Journal specifically, but also many other sources. And this time, Axios takes the crown for publishing supposedly insider stories, which sometimes are true and sometimes are not. And the difficulty of trading in that environment and whether you alter your approach or alter your investments or stop out or add or do you just completely ignore it?

I guess my approach generally is the baseline is you just have to ignore it at this point. Obviously, you couldn't ignore it when it, you know, you can't ignore Liberation Day when it happens. You can't ignore, you know, a new attack on Iran when it happens. But the half-life of the things are pretty short. And at this point, I mean, you can even see from oil like this has just turned into another, you know, search for the WMD's in Middle East forever war, I suppose. And that's not a tradeable thing for markets. Yeah, I mean, from somebody here running risk, it's, well, normally my approach is this, do I have something remotely close to an edge looking at this problem? You know, and again, edge is something we should talk about here, because people tend to confuse edge with certainty of prediction. And Of course, you're not gonna have a certainty of prediction here and not even a small band of let's say Probabilistically being wrong or right here. It's gonna be a wide band but sometimes sometimes despite the band is wide in a problem in forecasting the price action is so Skewed in one direction that even with a wide band with a wide dispersion and not so much precision in your forecast You can still say I have positive expected value I look at this brand and I am sorry but first of all the forecast ban dispersion is incredibly big like another way to say I have no idea and nobody has and then on top of it the market has learned not to overshoot about this right I mean you have these guys yesterday were talking about closing or moods and reinstating the novel blockade I mean those are like basically going back to prior to pre deal status and oil went from sixty eight dollars to seventy two I mean like seventy three whatever it is today so even then you look at it and you're like oh yeah but you know now the market is afraid well it's not really afraid you're not really to the point where the market goes ballistic because they're aware that terminally it's difficult to go back to closing or moots again so at the end of the day a lot of words it's a word salad I sound like worse these days to say I I don't know and probably Many people don't know and I would argue they don't have an edge and they should do nothing about this. Well, and I think as a short-term trader it requires a lot of discipline because even last night I was sitting here and like the first thing you want to do when you see those headlines is buy 10,000 USO or 100,000 USO or whatever your position size is or a thousand or whatever and Like I was literally like holding myself back from pressing the buttons last night because You think okay, well now they're re-escalating it's got about it's got to matter But it just doesn't matter that's the thing is it just doesn't matter and actually speaking of it doesn't matter I want to ask you a question. So we don't prepare in advance. Hopefully You know, that's a good thing not a bad thing because we want it to be more like a conversation. So I'm just dropping this on elf, but Something that I've been struggling with I'm gonna give an intro of my thoughts too so that there's some context so my view generally has been that the June 17th FOMC will be peak hawkish because the data won't ratify the hawkishness and also Warsh needed to be hawkish at that meeting simply because that's what you do when you're a new Fed chair and inflation's been above target for 66 months or whatever. So the combination of Warsh needing to perform as a hawkish person as a new Fed chair and then the fact that I don't think the data will ratify that means that my view is more dovish and more dovish than the market and part of that is from oil simply because it's a really simplistic way of looking at inflation but so much of inflation is driven by crude that and gasoline that it's a reasonable way to also forecast inflation as you look at what oil did in the last three months and it's a pretty good predictor of what headline inflation is going to do.

And then you have inflation break evens reflecting that because they are mostly driven by the price of crude. However, two year yields are still at 4.2%. Global yields like UK and Japan are making new highs. What am I missing? Because I don't understand really why yields are still going up when I don't really think the jobs market's that strong. I don't really see a massive inflationary pressure, even from memory prices and things like that. Yeah, sure, they're inflationary, but they're not a big part of PCE or CPI. So why is the divergence between oil and yields so large, do you think? Same question I've been asking myself for the last two months. Look, I mean, I'm going to open the kimono a bit on some of the models that I use to trade my strategy as well.

When you look at US core inflation, first of all, let's start from fax. The three month and the six month annualized core PC is freaking high. I mean, we're talking about almost 4% annualized. That's like a number, 4%. So recently, especially core PC has been pretty strong in the US. Okay, that's something the Fed can see, right? And we are paid to try and look forward and have a divergent view from the market consensus, right? So when I look at market consensus, let's start from there. the distribution around the

Fed funds hiking cycle over the next year has now moved from three hikes in the next 12 months being median to one to two hikes being median with a slight hawkish bias slight slight so the distribution has come down a little bit in the front end brand I would say that's what's priced in probabilistically then I look at my models and I'm trying to predict two things the pace of growth and the pace of inflation against what the market expects. When I look at the pace of inflation, there are like, you can break down core PC into three components, core goods, core services, ex-housing and housing. And the bubble comes back and says, meh, I don't see inflationary pressures, I don't see major disinflationary pressures either, meh.

like the recent boom that you have seen in core PC annualized is probably likely to revert to the good old core PC pressures, which by the way are full above target. We're talking about, you know, like a 3% annualized type of level. And why? Because the housing market is pretty weak, so shelter disinflation doesn't go away from my model. And shelter is a pretty decent portion of the core PC basket. Then you have core goods and on the other hand that's supposed to be inflationary because of the dollar weakness against China But that has also been calming down over the last few months basically so you don't have that the US importers are gonna pay a large amount of you know price increase to import Chinese goods prices anymore and Then you have core services ex-housing which is basically which growth and the labor market and consumer spending and money printing and in solo that So this brings me back to growth and the labor market, which is your point. And there every indicator I look at says NFP is going to be anywhere between 50 and 100,000 going forward. The unemployment rate is going to be stable at 4.2, 4.3. Wage growth is pretty low. Nominal income growth in the US from labor is pretty low. Real consumer spending is around 2%, which by the way is not a lot. In the US it used to be 2.5 to 3 constantly. So I look at all of this and I ask myself, Where is that vicious demand driven, consumer spending driven, wage growth driven inflation runaway spiral? I don't see it. My models don't see that. Do they see a massive disinflation impulse? No. So what do they see is, may I say Goldilocks, pretty much, standard growth, inflation reverting back to above target, but at least not going out of control.

And then you look at the macro markets and you try to figure out, if I'm right, where is that I can make the most money? Where is that the distribution is priced? Wrong. And you, you said rates, right? You basically your initial question is why are 10 year rates or 30 year rates so much higher? Well, I'm even saying two year rates because I tens and 30s, maybe you can make some other arguments, but twos seem four at 4.2% seems high. Yeah. So. the tools are basically pricing in that distribution of probabilities for the fed in the front end I said before a couple of bikes over the next year and not much more after that. So one way to make money there is to sell the hawkish skew of the distribution to say, look, I can buy two year rates and I can make carry out of it effectively, right? All these sites are not gonna unfold and I can make some money off the carry. But you have to be happy with the negative skew type of return brand. So if you're right, you make a few basis points basically with very In my opinion, it's highly likely you'll make a few basis points of profits there. Yeah, but if we are wrong, you might be wrong for real, right? And then the Fed has to go into a hiking cycle and then you might lose quite some money. So it's a bit of a negative skew high probability outcome if you receive front end rates, in my opinion. Then there is the next question, which is, what if you sell the dollar? What if you do dollar Brazil? What if you do dollar Tsar dollar Mexico, you know, you basically say The world is pro-growth, pro-risk. There is nothing wrong. Dollar, ZAR, dollar, max, dollar, Brazil are positive carry. If the Fed doesn't have to go ballistic because inflation does run out of control, why should dollar, ZAR, dollar, max, dollar, Brazil not deliver total positive return, including carry? So, question back to you. Yeah, and I agree with that. I mean, I'm short dollar, max, and dollar, Korea for a similar... Well, Korea is not a carry trade, but...

Because I think positioning in the dollars has reached an extreme, although really that extreme was reached about two weeks ago. It's a little bit less extreme now because momentum has lost. And specifically, things have changed in the UK and cable. But I do think short dollars is a better way to play my view. I mean, just to wrap up that conversation, I think one thing that confuses me... that I have to just come to terms with is you're describing like a soft landing sort of economic scenario. And really to me, it's the exact same scenario that we had at the start of 2026, which is 4.3%, 220K claims, payrolls around 50 to 100K, et cetera, et cetera. And at that time, two-year yields were 3.4%.

Now we had a spike in oil. Oil is almost all the way back to where it was and the same economy and yet two year yields are, you know, almost 100 basis points higher. But I guess part of it is that maybe yields were just too low at that time because people had bought into this, you know, captured fed Trump wants rate cuts and all that bullshit, which was, you know, never worth betting on, in my opinion, because he doesn't control interest rates and he ever will. But. And truth to be said, Brand, there is also the fiscal part. I mean, in the beginning of 2026, you didn't have much of the OBVB fiscal flows to the economy. These were more of a story with Q1 and Q2, right? So you have had the fiscal juice. I also tracked the money creation in the US in the form of primary deficit spending and credit creation. And that has accelerated a lot. I mean, truth to be said, money printing, so fiscal deficits in primary terms have accelerated a lot this year.

Well, we knew, right? I mean, Trump has done OBV, that's 400 billion or 1% of GDP or fiscal impulse on the economy. And credit fueled AI capex continues to go pretty strong. So you might say, Brenda, it's understandable. Yeah, all right. I think this, honestly, I feel better about just having talked about it kind of makes a little bit more sense. And then on the dollar, So there's a lot of idiosyncratic things going on in the dollar, you know, Korea has all the equity stuff and then the SK Heineck's ADR, the UK has the political stuff with Burnham coming in, Japan has the MOF risk, but I would say overall the market is mostly long dollars against most currencies at this point and some of the positions are pretty big like Canada and the UK. And the interesting thing is that None of those trades are really working now. What I feel like is short dollars, you always describe this asymmetry and convexity idea. It's that I don't really see a strong catalyst for the dollar to go down aggressively, but if there is one, it will. On the other side, it's hard for it to rally substantially now just because it First of all, it's just come very far. And second of all, positioning is extended. And then third, I'm not really sure that people will get that excited about, for example, other than CTAs buying dollar yen up here or selling euros below 114 just isn't as appetizing when FX vol is almost in the 0th percentile in some pairs. I think euro sterling's in the 0th percentile.

I think essentially short dollars is a good trade that's waiting for a catalyst. And then in the meantime, I'm starting to dabble in long silver and gold as well because essentially they're very bombed out. The bubble that happened is completely wiped clean. You have pretty good seasonality specifically in silver now. And so I like silver, I like short dollars. And as everyone knows, none of this is investment advice. My average holding period is about 10 days. It's long enough to say on a podcast and then I can change my mind in the next couple of podcasts, but it's not a long-term view. What I'm generally doing is more looking for inflection points or the meaty part of an upcoming move and then jumping in and jumping out. Silver's at 58 something. I could see silver back at 63, 64, maybe even up to 70 by August.

is kind of something that I'm looking at. And then after this whole discussion, the rates trade is probably just like a do not touch because I think you can probably make money on these other trades that we're talking about like long carry, long precious, even if rates go nowhere. Obviously if twos go to 450, none of these trades are going to work. Yeah. So it's just about to monetize. the view with Brenda and I are right, which we seem to agree on one thing in core inflation is not going to run out of control from where we are now, and growth in the US is okay, but the labor market isn't hot. So if you get this combination, how do you best monetize your view? Sometimes the work of a macro investor is not only to find out what macro state of the world you're going to have in six months, but it's also how to best monetize that macro state of the world. And buying front end rates is perhaps not a fantastic idea. I mean, you can make some money, but it's pretty much a negative skew. The short dollar versus EM, so positive carry versions of short dollar, I am pretty sympathetic with. Hey, guys, and then we're going around the problem, but the easiest way on earth to make money with this is buy stonks. Buy the stonks. Yeah, because at the end, if inflation doesn't run out of control, the Federal Reserve will have a very easy and predictable reaction function to the situation. So either hold or hike.

once twice in a year boring in response to pretty strong nominal growth. So what's the problem with the holding equities? None at all, basically. And generally speaking, in periods of low realized macro world and buying equities is a very, it rewards you. So I run a little back test looking back at periods where the Federal Reserve hiked once or twice maximum over a 12 month horizon. Co-inflation was a bit above target and growth was okay. So trying to replicate, basically, the conditions I'm laying down for the next six months in the US. Yeah, and the S&P 500 returns twice its median return on a six-month holding period if you're able to get those Goldilocks conditions. So might sound pretty boring. And these days, the S&P 500, that's interesting. I hate the S&P 500 as a description of equity beta risk.

I mean, I'm sorry guys, but the ball of this thing is very influenced by the AI factor. So every time somebody says, where is the S&P? My answer back is, where is the equal weight S&P? Which there is a future, there is an ETF for it. So at least I have an idea of large cup, United States equal weight stocks. Otherwise, you know, market cap weighted on basically, people are asking me, what do you think of the AI factor? Yeah, sorry, I don't think anything. I have no idea. So be aware of using the S&P as your equity beta proxy these days. So when you're bullish equities these days, you buy, what do you buy? Small caps or equal weight S&P? Equal weight. So if it's in the US, you buy equal weight S&P, I do have a tilt for value, which I've had for the last, I don't know, two years. Value is a factor that does well when nominal growth, especially nominal growth. So inflation and real growth are running relatively hot and the central banks are sitting mildly behind the curve, which has been the case for the last two to two and a half years around the world. And these value stocks like banks, industrials, this type of stuff, they're also relatively cheap, which makes the imagination of people go a little bit wilder, you know, like the upside is perceived to be bigger in value, but in general, equal weight SMP. Okay, because it is interesting. There's been moments now where like semis and equal weight have been inversely correlated in for a week or whatever, which is pretty hard to imagine that you can be short, micron and long, equal weight S&P and make money on both sides in one day is kind of a crazy setup. It has made for some incredible trading opportunities in all these areas where there's just massive leverage like Korean equities, semis and all that. There's just so much leverage in those parts of the system that there's unbelievable trading opportunities. And one thing that really blows my mind is how all these stocks make their highs on the best possible news, like Micron's earnings were the best earnings that any company has ever published it felt like. And it made the top that day at 12.55 and then traded down to 9.00 something. And that's been a regular feature of this market is that the good news tends to mark the tops.

which is very counterintuitive. But again, that's just how markets work. You don't make highs on bad news, obviously. I have a question. What is the Ministry of Finance? That's a super interesting one talking about dollar yen. You have a really interesting situation now where for the first time in a long time, I actually feel like it's possible that maybe dollar yen might end up peaking around here without the MOF because It reminds me of the time when there was a long time that this was a case that people just thought that the stock market was just a factor of the Fed balance sheet and then you know over time we got more evidence and obviously that wasn't the case. It was just like a overly simplistic model and now most people that I talked to are bullish dollar yen and the reason is Japanese fiscal that's the explanation and yet A lot of the flows in Dalyan have a lot more to do with the current account and trade balance and oil importers and things like that. And so I do feel like the flows now are relying more and more on speculators and investors and much less on the real world than they were before with the oil at 110. Every single night in Japan, the importers came in and bought Dalyan. And that's just one example of that flows.

doesn't need to happen anymore. So I feel like dollar yen is becoming more and more of a spec trade that has weaker and weaker justification, I think, unless yields crack way higher than. So where's the MOF? I guess they're trying to and I think this is intelligent. I think I actually respect the way that they do things is you hammered a few times, but you can't keep doing the same level. Otherwise, the market gets fixated on. that they're defending that level and as soon as it goes through, then, you know, there's another massive wave of speculation. So, they've kind of said, okay, let's just let it breathe for a bit and we need a little bit of element of surprise. I mean, they'll probably come back in. The problem is that solo intervention, you know, you can buy yourself time for the macro story to turn, but solo intervention doesn't really work in general. So, unless they get the US on side, which is a very big long shot. I mean, Besson always talks about lower dollar yen and lower dollar Korea. And every time he's done that, it's been a chance to buy the dip because there's nothing behind it. Even though they did a rate check, which again, for someone who understands markets, it's a pretty weak strategy to do one rate check from the Fed and then follow it up with nothing. So I don't feel like, I don't.

I think there's an MOF or a Fed intervention trade. I think you have to believe that Delian is just organically going to go down. So unless you believe that, which I don't really think we have a catalyst for it. I do feel like the, the bull case is pretty flimsy now. So I'm getting a lot more neutral. And, and most of what I've been doing has been trying to time intervention, which worked once and didn't work once, but. Obviously it pays like five to one when it works. So it's a reasonable thing to try to bet on. But right now I just feel like it's totally random. Besson talks about a lot of things, I have to say. Most of them are just talk and doing nothing. He said he was going to deregulate the financial system massively. You remember beginning of the Trump administration, he was going to do this big deregulation agenda. Nothing has been seen a year and a half later, just literally nothing.

Crazy stuff deficit was gonna be deficits as well. Yes 3% that was the signature policy. I think yes, I guess I don't know I don't like to be mean but he's got to be one of the bigger disappointments of this administration just in terms of Nothing really interesting happening. You know, he he's a smart guy who is pretty creative but hasn't really delivered anything but anyways no indeed so I was trying to figure out Basically, what Brenda and I are describing is just the world. If we are right, it's a world of the market is mildly positioned for some hawkish reaction function of the Federal Reserve. This is unlikely to realize in this type of hawkish skew that is priced in. So basically, you want to lean against the macro tails. Effectively, Brenda, the way I think about it is there are regimes in macro. There is a regime in which the market is trading low ball because it doesn't see In front of its own nose. So that's like for example December 2021 the market is trading in low vol it can't see that inflation is gonna pick up as a result of money printing and we're gonna get a major hiking cycle and When you see such a market and it doesn't need to be in the US it can be ahead of Hungarian elections at the market hasn't recognized that skew, you know often when you see that set up ahead of you then in my opinion the best way to think about it is Either you do an inverse ball sizing of a linear position the result is going to be a relatively hefty Notional that you take because ball has been pretty low and then when you're able to break out on getting get into a macro trend Ball is gonna result in upside ball for you, which is fantastic You know you you have in both inverse ball sizing on a low ball sample T minus one and then you get into a trade and then it starts trending your way So you're gonna have upside ball realized in your favor. That's amazing Alternatively, you can use options and achieve pretty much the same thing. That's like the holy grail of a macro investor, if you ask me. But then there are moments when there is no such a skew. Actually, it's the opposite. The market is trading on relatively high realized ball. We can say the dollar, you know, euro went below 114 and people started freaking out and putting up edges on that side and it bounces back above 114. So it's realizing vol in a range, but it's going nowhere because the market is somehow nervous about something and your models are saying there is not much to be nervous about anything right and then you have to trade the Compress the macro tail type of regime. Yeah, that's a bit of a different regime to trade them because You can do carry you can sell vol outright implicitly whatever you want, but or you can buy drift. That's the other thing drift is carries a form of drift if nothing happens you make money the other famous forms of drift are credit and equities those are drifty assets in general but macro investors are not paid to sit on long credit and long equities book for a very long time so that that it's it's a bit of a different environment to trade and i was reflecting on brand saying before he has a holding period of nine days sometimes i envy him my holding period is more like six months so You know, he can get in and out and trade those ranges out. I could, but I'm not very good at it. So Brent, for you, this philosophical thing of, you know, that I just did is pretty much irrelevant, is it? But, you know, I think what you laid out is interesting there and important is that something huge and crazy is just not always around the corner. And, you know, financial journalists have to fill the air 24 seven. But if you look at, if you think back over, like, If I think back to 1995 all the time, since I started trading, almost all the activity tends to get compressed into a few weeks or during a day, a couple of hours. There's sort of this time dilation feature of markets where there are long periods where nothing's going on and you can't just sit there positioned for the huge move and the massive crisis or the meltup and something massive all the time.

A lot of times the correct view is to say, I don't really think anything that crazy is going to happen. We're in or close to equilibrium and therefore I'm going to be long drift and long carry and whatever. And so I think that's a good way to think about things is I feel like the media kind of primes everyone for this. Like I'm on the edge of my seat waiting for the next massive thing to happen. But sometimes, you know, there's, there's the meme. Nothing ever happens, which is obviously the other extreme, but. It is worth sometimes just saying, hey, I think we're going to probably chill for a couple of months. The most hawkish expectations won't get realized, but you know, twos aren't going to collapse to 3.7 either. So how do you trade that? And then you structure your trades appropriately for the sort of quieter period where you probably are more likely to make money on mean reversion and in semi is imprecious and things like that. Then you are trying to pick a trend or.

play a crash or whatever. One other thing I would like to say before we close up the podcast is I started my career as a very dogmatic person. Various dogmas were sitting in my head, very, very difficult to eradicate for me. For instance, technical analysis is an astrology for men. You cannot ever, ever do negative skew trades. They are forbidden. You cannot do them. You cannot risk one unit of, three units of risk to make one unit of P&L in a trade. Some of the dogmas, or the biggest dogma, I traded most of my career between 2014 and 2021 at that point. So figure out what my bias was in bonds. Of course, you'd have to be a bull, a bull, right? I mean, the whole time you've been buying by buying fixed income. And then 2022 happened, you had to change your mind pretty quickly there.

And now I'm just saying this because all of these biases I've worked on and they're gone, I would say they are. I still have some that I'm working on, but in general, to be a macro investor, it pays to be incredibly open-minded. So if you read Brand's pieces and he's using resistances and he's using RSI or other things, perhaps you shouldn't, not about Brand, but in general, perhaps Alf shouldn't dismiss. RSI or some line in a chart because a if Brent has been training for 30 years and he's seen that some of these help me make you know format thesis Perhaps there is value in considering it as part of your process and Just a suggestion from a relatively young guy who's still learning from some older and better guys like brand To not be dogmatic, be open-minded, explore everything from technicals to statistics to macro models to whatever. Anything helps. Hey shit, you know what that reminds me of is I have a new book out that came out this week and I forgot to mention it. So my new book is called Trade Outside the Box. It's on Amazon and it's literally exactly what Alf just described, trying to have an open mind.

because if you think like everyone else, you'll perform like everyone else and that's not good. Most people perform worse than the benchmark. Most day traders lose money, et cetera. So trade outside the box, buy it on Amazon. I'm good at marketing. Very, very good at marketing. I bought a signed copy from Brent, still waiting for him to sign. He's such a busy guy, you know? So many orders. He can't sign a book and ship it over to Europe. Be open-minded, listen to senior people, learn from them. and try not to get run over by the orange variable. Be mindful of the orange variable, always remember. We'll try to be back next week hopefully with some new interesting stuff to discuss which is not like a sell macro tails buy equities buy the carry and have a nice day but hey guys it's summer that also tends to be a pretty seasonal time good time to sell macro tails and buy carry so who are we to to play heroes here.

That's right. And I think around mid August is usually when vol starts to pick up. So thanks everyone for listening. Talk to you next week. Ciao. Always perform your own due diligence.